

Tesla, Inc.
TSLA NASDAQ

Hold	\$367.38 ▲ 2.60%	12M Price Target \$410.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.45T
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TSLA: Cyclical Rotation Lifts Auto Names, But BYD Threat Real

WHAT HAPPENED

- TSLA popped 2.6% as part of a broader "cyclicals rotation" — meaning investors are dumping defensive stocks (utilities, staples) and buying economically-sensitive names like automakers because they're betting the economy is picking up. GM, Ford, and Stellantis all rallied harder than TSLA, which is telling — Tesla got dragged up by the tide, not by its own catalyst.
- BYD reported record monthly sales overnight — that's the Chinese EV giant that's been eating Tesla's lunch globally. The fact that TSLA rallied anyway suggests the market is currently more focused on the macro rotation than on the competitive threat, but that BYD headline is a slow-burn negative.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- BYD's record sales aren't a one-off — China is out-innovating on price and features, and if EV tax credits get gutted in the US, Tesla loses its home-market cushion right when global competition peaks.
- Robotaxi timeline slippage — the entire valuation rests on autonomy working AND regulators allowing it. Any high-profile safety incident could set the whole industry back years.
- The Musk distraction risk — Cramer literally said "SpaceX should buy Tesla" because Musk's attention is split across too many companies. If xAI or SpaceX becomes his focus, TSLA execution suffers.

IN THE NEWS

SpaceX stock pops ahead of Starship launch Yahoo Finance · 2026-09-16 18:04

Automaker Stocks Rally as Rotation Lifts Cyclicals: General Motors Climbs 4%, Stellantis R... 24/7 Wall St. · 2026-09-17 17:01

Jim Cramer on Tesla (TSLA): "My Only Solution to It Is That SpaceX Has to Buy It" Insider Monkey · 2026-09-17 16:47

BYD Just Reported Record Monthly Sales. Here's What That Means for Tesla Stock. Motley Fool · 2026-09-17 15:50

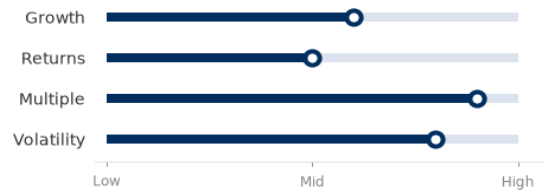
Lucid's Robotaxi Push Expands With Bolt Deal In Europe — CEO Silvio Napoli Says AlixPartne... Stocktwits · 2026-09-17 15:49

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$367.38
12M Price Target	\$410.00
Upside / (Downside)	+11.6%
Market Cap	\$1.45T
FY2026E Revenue	\$118M
FY2027E Revenue	\$142M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.90
Fwd P/E	129.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$395.00	\$372.00	\$340.00
6 Months	\$460.00	\$390.00	\$310.00
1 Year	\$520.00	\$410.00	\$290.00
2 Years	\$650.00	\$450.00	\$250.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.3%) and Consumer Discretionary (+1.4%) — classic "risk-on" rotation suggesting investors think the Fed is done hiking and the economy is re-accelerating. That's a tailwind for growth names like TSLA.

COOLING OFF: Utilities and Real Estate lagged on a 5-day basis — money is leaving the "safe" dividend plays, which typically happens when investors feel bullish about growth.

ROTATION WATCH: Money is moving into cyclicals (autos, industrials) on hopes of stronger consumer spending. If this rotation holds, TSLA benefits — but as a growth-tech name more than a pure automaker.

RELATED PLAY: If you like the AV/robotaxi thesis but don't want single-stock risk, LiDAR names, chip suppliers (NVDA, MBLY), and even auto insurance disruptors benefit from the same trend.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): +4% — cheap valuation, huge buyback, and their Cruise autonomous unit is quietly making progress.
- STLA (Stellantis): +4% — beaten-down value play catching a bid on rotation; European auto exposure gets a boost if ECB cuts rates.

TSLA CONTEXT: TSLA is LAGGING its auto peers today, which matters. On pure rotation days, the highest-beta name (usually TSLA) should lead. The fact that it didn't suggests either (a) BYD news is capping enthusiasm, or (b) sellers are using strength to trim. Watch if TSLA can outperform on the NEXT up day — if not, this rally has no legs.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive on the long-term AI/robotaxi story, but the stock is priced for near-perfect execution and competition is intensifying. Not a table-pounder here.

POSITION SIZE: 2-4% of portfolio — this is a volatile name that can swing 20% in a month, so size it small enough to sleep at night.

ENTRY POINTS: I'd rather add on pullbacks to \$330-345 than chase here at \$367. The stock hit \$498 earlier this year and \$297 at the lows — you're currently at 35% of the 52-week range, which isn't cheap enough to load up.

TIME HORIZON: 12-24 months, with the key catalyst being real robotaxi revenue disclosures in 2027 earnings.

WHEN TO BAIL: Auto gross margins below 15%, robotaxi launch delayed past mid-2027, or any cluster of insider selling. Also: if BYD enters the US market (currently blocked by tariffs), that's a game-changer.

HEDGING: Simplest hedge — own less. If you want to stay long, buy a put option 10-15% below current price as insurance — it's like paying for car insurance on your stock. Or pair it with a short in a weaker EV competitor.